

1 _____ BILL NO. _____

2 INTRODUCED BY _____
3 (Primary Sponsor)

4 A BILL FOR AN ACT ENTITLED: "AN ACT REVISING PARTICIPATION IN PUBLIC RETIREMENT SYSTEMS
5 FOR LEGISLATORS; REQUIRING NEW LEGISLATORS TO JOIN THE PUBLIC EMPLOYEES' RETIREMENT
6 SYSTEM DEFINED CONTRIBUTION PLAN; AMENDING SECTION 5-2-304, MCA; AND PROVIDING AN
7 EFFECTIVE DATE."

8
9 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

10
11 **Section 1.** Section 5-2-304, MCA, is amended to read:

12 **"5-2-304. Participation in public retirement systems.** (1) The purpose of this section is to allow a
13 person who is elected or appointed to the Montana legislature and who is also a member of a retirement
14 system provided for in Title 19, chapter 3, 5, 6, 7, 8, 9, 13, 20, or 21, by virtue of the person's nonlegislative
15 employment to continue the person's participation in the public retirement system of which the person is a
16 member.

17 (2) This section is not intended to provide duplicate credit for the same service in two retirement
18 systems supported wholly or in part by public funds. This section does not affect contribution rates or benefit
19 payments specifically provided for in the laws governing the operation of individual retirement systems.

20 (3) (a) A person who is an inactive or retired member of a retirement system provided for in Title
21 19, chapter 5, 6, 7, 8, 9, 13, 20, or 21, and who is elected or appointed to be a legislator for the first time on or
22 before June 30, 2025, may:

23 (i) return to active membership in the system of which the person is an inactive or retired member
24 under the requirements of that system; or

25 (ii) remain an inactive or retired member of the retirement system and become an active member
26 of the public employees' retirement system pursuant to 19-3-413.

27 (b) A person who is an inactive or retired member of a retirement system provided for in Title 19,
28 chapter 5, 6, 7, 8, 9, 13, 20, or 21, and who is elected or appointed to be a legislator for the first time on or after

1 July 1, 2025, may:

2 (i) return to active membership in the system of which the person is an inactive or retired member
3 under the requirements of that system; or

4 (ii) remain an inactive or retired member of the retirement system and become an active member
5 of the public employees' retirement system defined contribution plan provided for in Title 19, chapter 3, part 21.

6 (c) A person who is an inactive or retired member of the public employees' retirement system
7 provided for in Title 19, chapter 3, and who is elected or appointed to the legislature may return to active
8 membership in the public employees' retirement system but cannot simultaneously be an inactive or retired
9 member of the system as a result of prior covered terminated employment and an active member of the
10 retirement system under 19-3-413 or this section.

11 (d) A person who is not an active, inactive, or retired member of a retirement system provided for
12 in Title 19, chapter 5, 6, 7, 8, 9, 13, 20, or 21, and who is elected or appointed to be a legislator for the first time
13 on or after July 1, 2025, must become an active member of the public employees' retirement system defined
14 contribution plan provided for in Title 19, chapter 3, part 21.

15 (4) (a) A person who is an active member of a public retirement system governed by state law and
16 who is elected or appointed to be a legislator may, but is not required to, continue the person's participation in
17 that public retirement system while engaged in official duties as a legislator.

18 (b) To continue participation as an active member in the public retirement system, a legislator
19 shall, within 90 days of taking office and in a manner prescribed by the appropriate board, file an irrevocable
20 written election with the teachers' retirement board or the public employees' retirement board.

21 (5) A legislator who elects to continue participation as an active member as provided in subsection
22 (4) shall continue the payments into the fund of the retirement system at the rate currently in effect in the
23 system based on the legislator's monthly salary as a member of that system.

24 (6) The state contribution must be made by legislative appropriation. It must equal the appropriate
25 employer contribution at the rate currently in effect in the system."

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27 NEW SECTION. Section 2. Effective date. [This act] is effective June 30, 2025.

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